

Banking Regulation & Policy Department
Bangladesh Bank
Head Office
Dhaka

BRPD Circular No. 05

Date : May 14 , 2007

Baishakh 31, 1414

Chief Executives
All Scheduled Banks in Bangladesh

Dear Sir,

Master Circular on Capital Adequacy of Banks

Please refer to our BRPD Circular No. 10 dated November 25, 2002 on the captioned subject, wherein banks have been advised to maintain a ratio of capital to risk weighted assets not less than 9% of which at least 4.5% in core capital, with effect from June, 2003.

02. With a view to strengthening the capital base of banks and make them prepare for the implementation of Basel II Accord, it has been decided that henceforth banks will be required to maintain Capital to Risk-Weighted Assets Ratio 10% at the minimum with core capital not less than 5%. This requirement will have to be achieved by December 31, 2007.

Please acknowledge receipt.

Yours sincerely,

(Naba Gopal Banik)
General Manager
Phone : 7117825